

Exhibit 78: Proposed Portfolio Allocation for Mr Sanghvi

Asset Class	Category	Sub Category	% Allocation	Pre-tax Returns	Post-tax Returns
Equity	Large-cap	Large-cap ETFs	20%	15%	15%
	Multi-cap	Coffee Can Portfolio	20%	20%	20%
	Mid-cap	Small-midcap mutual funds	20%	18%	18%
		Good & Clean portfolio	25%	22%	22%
Debt	Short-term	Short-term mutual funds	15%	8%	7.4*%
Grand Total			100%	17.3%	17.2%

Source: Ambit Capital

*Assumed 8 per cent taxation for debt funds after considering Indexation.

Again, as in Mr Talwar's case, Nikhil calculated the drop in returns if Mr Sanghvi did not choose the low cost ETFs and direct option. The returns would drop from 17.3 per cent per annum to 16.5 per cent per annum.

What about your plan?

Throughout this book, we have attempted to introduce the simplest and most effective way of long-term wealth creation. Be it allocation between debt and equity, choosing between large-cap and mid/small-cap or selecting the underlying instruments, each decision goes a long way in how your capital grows in the long term. Almost as important as portfolio allocation are fees and fund expenses—high fees erode portfolio returns very significantly and hence thought and effort need to be given to expense minimization.